a strong demand for reforms in the IMF (which looks after the International Monetary System), especially, from the emerging economies which now seems logical to the advanced economies, too. But for the time being, the global economy has to learn the ways and means to operate amidst the high buid-ups of the current account surpluses and forex reserves which are kept/maintained by the EMEs.

Savings and Investment

One of the features of the 'new normal' in the world economy is the way savings as well as investment rates are distributed between the advanced and emerging economies. As per the database of the WEO, the most advanced economies have gross saving rates *below 20 per cent* while the opposite is true of the EMEs; in case of China it is around 52 per cent, for example. **India's** investment rates, for example, have risen some 12 percentage points of GDP from the mid-1990s to around 35.1 per cent in 2010-11 *(Economic Survey 2011-12).* Investment trends drive growth and the divergence seen in savings is almost symmetrically reflected for the investment rates.

Implications of the Change

The changes in composition/dynamics of the global economy discussed thus far suggest a perceptible shift in the global balance of output of goods (especially manufacturing). While services (in particular financial services) continue to be largely concentrated in advanced economies, a larger share in world population, coupled with higher growth, implies that the EMEs and developing countries will increasingly account for incremental growth in the global market for goods, services, and commodities. A change in the global economic balance driven by supply and demand forces therefore appears to be the **'new normal'** and is likely to accentuate in the years to come, as has been discussed by the experts in following paragraphs:

(a) In the situations when small economic crises crop up repeatedly over a relatively short period of time, policymakers in each country may treat each such episode as an independent event requiring independent action but in reality such 'cluster crises' may be a sign